

# BOCO/BM/CM Incentive Deduction Policy Based on Accounts Parameters

## Deduction Parameters

The errors will be counted using the parameters mentioned below, and each time one of these parameters is violated, one error will be counted against the designated person.

| Parameters               | Responsible:                                                                                                   |                                                                                                             |                                                                                                             |
|--------------------------|----------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|
|                          | BOCO                                                                                                           | BM                                                                                                          | CM                                                                                                          |
| Vault Cash Management    | Accurately count and verify the physical cash in the branch.                                                   | Verify the physical cash to ensure accuracy.                                                                | -                                                                                                           |
|                          | Update the vault cash screen in the system with the verified amount.                                           | Confirm that the BOCO has accurately updated the vault cash report.                                         | -                                                                                                           |
|                          | Ensure this process is completed at the end of day before leaving the branch.                                  | Update the physical cash amount in the vault cash report screen in the system before leaving the branch.    | -                                                                                                           |
|                          | Double-check entries for accuracy and completeness.                                                            | Ensure the cashbook screen should be match with the physical cash on hand at the end of day                 | -                                                                                                           |
| Training Attendance      | Mandatory attendance in training sessions. In case of leave the same must be informed to the accounts team.    | Mandatory attendance in training sessions. In case of leave the same must be informed to the accounts team. | Mandatory attendance in training sessions. In case of leave the same must be informed to the accounts team. |
| Cash Management Mail     | Send daily emails detailing cash management activities and status.                                             | In case BOCO is not available the BM will be responsible for above mentioned points.                        | -                                                                                                           |
|                          | Include updates on cash counts, discrepancies, and any significant events related to cash management.          | -                                                                                                           | -                                                                                                           |
|                          | Ensure emails are sent to the concerned branch accounts executive by the end of the day or on T+1 before 8 AM. | -                                                                                                           | -                                                                                                           |
| Cash Verification Report | -                                                                                                              | -                                                                                                           | Verify the physical cash in the branch during branch visits.                                                |
|                          | -                                                                                                              | -                                                                                                           | Sign the daybook as a confirmation of verification                                                          |
|                          | -                                                                                                              | -                                                                                                           | Update the cash verification report with the verified physical cash in the branch.                          |
| Cash Mismatch            | Conduct daily cash counts to ensure the recorded cash matches the physical cash on hand.                       | Conduct daily cash counts to ensure the recorded cash matches the physical cash on hand.                    | -                                                                                                           |
|                          | Implement measures to prevent cash mismatches.                                                                 | Implement measures to prevent cash mismatches.                                                              | -                                                                                                           |

|                                           |                                                                                                                           |                                                                                                                           |                                                                                             |
|-------------------------------------------|---------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------|
| <b>Maintenance of Petty Cash Register</b> | Record all petty cash transactions accurately in the petty cash register as and when expenses are incurred in the branch. | Record all petty cash transactions accurately in the petty cash register as and when expenses are incurred in the branch. | Verify the entries in the petty cash register and physical petty cash during branch visits. |
|                                           | Ensure receipts and documentation for each transaction are properly filed.                                                | Ensure receipts and documentation for each transaction are properly filed.                                                | Ensure all transactions are properly recorded and documented.                               |
|                                           | Reconcile the petty cash register daily to match the actual petty cash on hand.                                           | Reconcile the petty cash register daily to match the actual petty cash on hand.                                           | Sign the petty cash register as a confirmation of verification.                             |
|                                           |                                                                                                                           | -                                                                                                                         | Provide feedback and corrective actions for any discrepancies found.                        |
| <b>Approval Mail</b>                      | Responsible for sending expense, excess cash hold and any related approval emails as per the process.                     | Responsible for sending expense, excess cash hold and any related approval emails as per the process.                     | Review approval requests.                                                                   |
|                                           | -                                                                                                                         | -                                                                                                                         | Ensure all requests comply with company policies and guideline                              |
|                                           | -                                                                                                                         | -                                                                                                                         | Approve or reject the requests within the specified timeframe.                              |

## Deduction Rate

The deduction rate will be decided on the basis of following table which describe the deduction % on Total Monthly Incentive against the total numbers of errors.

| Deduction Parameters (Consolidate) | Deduction Rate |              |              |
|------------------------------------|----------------|--------------|--------------|
|                                    | BOCO           | BM           | CM           |
| Up to 10 Errors                    | No deduction   | No deduction | No deduction |
| 11 to 20 errors                    | 2%             | 2%           | 2%           |
| More than 20 errors                | 5%             | 5%           | 5%           |

## Process

- The branch accounts executive will verify the tasks as per the parameters mentioned and update the google sheet daily based on discrepancies finding.
- The Accounts Team Leader will ensure that the google sheet is updated, and that the data is shared with the appropriate BOCO/BM/CM on a weekly basis.
- At the month end the Branch accounts Team Leader will prepare the final deductions rate against each BOCO/BM/CM based on the google sheet.
- The branch accounts team leader will share monthly consolidate error report with final deductions before 3<sup>rd</sup> of next month with the reporting team.
- The reporting team will consolidate and share the data before 5<sup>th</sup> of the next month with the MIS Team for deduction and to HO Accounts teams for verification purpose.